

SURFACE USE AND DAMAGE AGREEMENT

This Surface Use and Damage Agreement ("Agreement") is entered into on December 5, 2024 between Doris and Walter Kestrel, as joint tenants ("Surface Owner") and San Joaquin Oil Company ("Operator").

Recitals

WHEREAS Operator holds oil and gas leasehold rights beneath the lands of Surface Owner described as Section 14, Block 13, H&GN RR Co. Survey, Abstract No. 612, Ward County, Texas (80.00 acres); and

WHEREAS the parties desire to set forth the terms governing Operator's use of the surface for drilling and production operations;

Surface Damages (Area of Disturbance)

Operator shall pay Surface Owner \$30,000.00 per well pad as initial surface damages within the area of disturbance, plus \$40.00 per rod for new roads and pipelines, and shall separately compensate for damage to crops, livestock, fences, and improvements outside the area of disturbance.

Location of Operations and Setbacks

Well pads, tank batteries, and central facilities shall be located no closer than 500 feet to any existing residence or water well without the Surface Owner's written consent.

Operator shall consult Surface Owner on locations before staking, fence all production facilities, and control noxious weeds.

Interim and Final Reclamation

Operator shall perform interim reclamation of areas not needed during production (replace topsoil, control weeds, reseed). Upon plugging and abandonment, Operator shall remove all equipment, recontour to approximate original grade, replace topsoil, and reseed with an approved mix within twelve (12) months (final reclamation).

Water and Environmental Protection

Operator shall not use fresh water from Surface Owner's wells or ponds without a separate written agreement; shall take measures to prevent soil erosion and pollution of land, water, springs, and ponds; and shall not release or discharge toxic or hazardous substances on the property.

Insurance and Indemnity

Operator shall maintain commercial general liability and environmental liability insurance in commercially reasonable amounts and shall indemnify and hold Surface Owner harmless from claims arising out of Operator's operations on the property.

SURFACE OWNER: Doris and Walter Kestrel, as joint tenants

OPERATOR: San Joaquin Oil Company

STATE OF TEXAS
COUNTY OF WARD

This instrument was acknowledged before me on the date written above by Doris and Walter Kestrel, as joint tenants.

Notary Public

My commission expires: _____